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Bayer's Apollo Deal Shows Litigation Risk Is Now a Capital Structure Problem

A 3 billion sale of a contraceptives business to Apollo Global Management. The purpose: fund Roundup litigation. This is what happens when legal liability becomes a financing constraint.

Bayer sells 3B stake to Apollo to fund Roundup litigation

Bayer sold a minority stake in its contraceptives business to Apollo. The proceeds will help cover ongoing Roundup litigation costs. The deal values the business at roughly 9 billion.

SIGNIFICANCE

Legal liability is now a capital structure constraint

This isn't just a legal story. It's a capital markets story. Bayer is using asset-level equity to solve a balance sheet problem. That's a signal for any company with material litigation exposure.

When litigation risk hits the capital stack

The simple version: Bayer needed cash for legal settlements. Traditional debt was expensive or unavailable. So they sold equity in a core business line. This is a capital structure decision, not just a legal one.

THE REAL QUESTION

How do you fund an uncertain liability with a certain timeline?

Roundup claims are ongoing. The total cost is unclear. But Bayer needs liquidity now. Apollo provides that-in exchange for a piece of future cash flows. It's a creative solution to a hard problem.

WHO CARES?

Three perspectives worth watching

- * Sponsor: Apollo gets a high-quality asset at a potential discount.
- * Lender: Existing creditors may see reduced leverage.
- * Buyer: Other pharma firms with litigation risk may explore similar structures.

MARKET CONTEXT

Litigation financing is becoming a mainstream capital markets tool

A useful way to think about this: legal claims are becoming an asset class. Firms like Apollo are providing capital against them. This deal shows that litigation risk can be securitized, not just insured.

What to watch next

- * How Apollo structures its exit from this stake.
- * Whether other pharma firms follow Bayer's lead.
- * The cost of capital for companies with large legal overhangs.

THE LESSON

Litigation risk is now a capital structure question, not just a legal one.

At Light Tower Group, we help clients think through these intersections. Whether you're a sponsor, a lender, or a corporate treasurer, the capital markets implications of legal exposure matter. Connect with Benjamin Rohr for capital strategy and placement.